Book → KB Extraction Report (Pass 1)

Generated 2026-08-21 14:10 UTC from on-disk state in **kb/knowledge**. All figures read from processing_state.json and saved chunk JSONs — no projections.

Run status

Chunks recorded in state	129
Chunks done	129
Chunks errored	0
Knowledge items extracted	911
API tokens (in / out, from usage fields)	0 / 0
Engine / spend	claude-cli (subscription) — per-token spend not metered

Items per chapter

Chapter	Items
ch01	116
ch02	77
ch03	22
ch04	56
ch05	66
ch06	54
ch07	33
ch08	27
ch09	12
ch10	11
ch11	11
ch12	25
ch13	30
ch14	45
ch15	16
ch16	19
ch17	26
ch18	23
ch19	17

ch20	17
ch21	12
ch22	13
ch23	15
ch24	6
ch25	21
ch26	18
ch27	28
ch28	10
ch29	22
ch30	10
ch31	13
ch32	16
ch33	15
ch34	9

Items by type / top categories / top topics

Types: concept (393), definition (194), market_mechanic (166), risk (68), trading_strategy (33), formula (30), example (27)

Top categories: Power Markets (262), Derivatives (150), Natural Gas (146), Risk (141), Emissions Markets (31), Oil (27), Coal (22), Commodities (20), Power Generation (13), Trading Markets (13)

Top topics (dup counts here = Pass-4 dedup workload): Heat rate (2), Cap and trade vs. carbon taxes (2), Mark-to-Market Accounting (2), Historical Cost Accounting (2), Correlation Risk in Spread Options (2), Hedging (2), Hedge Accounting (2), Weather Derivatives vs. Insurance (2), Hydraulic fracturing (fracking) (2), Financial Transmission Rights (FTRs) (2), Power Purchase Agreements (PPAs) (2), Structure of the energy market (1), Physical trades vs financial trades (1), Spot market vs forward market divide (1), Arbitrage and operational vs financial risk (1)

Needs human review

None recorded (errors and verbatim flags both empty).

Sample items (first 5, verbatim from saved JSON)

Structure of the energy market — concept · Power Markets · ch1 p18-19

The energy market is a chain of distinct sub-industries (exploration/production, transportation, generation, conversion, and distribution) that together move fuel and power from the ground to end consumers.

file: raw/ch01/chunk_000.json · source-vs-inference: all from source

Physical trades vs financial trades — definition · Derivatives · ch1 p19-20

A physical trade requires an actual delivery or receipt of the underlying commodity (e.g., barrels of crude); a financial trade settles purely in cash with no physical movement of the commodity.

file: raw/ch01/chunk_000.json · source-vs-inference: all from source

Spot market vs forward market divide — market_mechanic · Power Markets · ch1 p19-20

The spot (cash) market covers transactions for immediate delivery, while the forward market covers agreements for delivery at a future date; in energy, unlike in stocks or bonds, these two markets are not closely linked.

file: raw/ch01/chunk_000.json · source-vs-inference: all from source

Arbitrage and operational vs financial risk — concept · Trading Strategy · ch1 p20

Arbitrage is making a risk-free profit by simultaneously buying one security and selling another; energy markets have more such opportunities than typical financial markets, but they often carry operational risk (e.g., logistics of delivery) instead of pure financial risk.

file: raw/ch01/chunk_000.json · source-vs-inference: all from source

Liquidity: liquid vs illiquid markets/assets — definition · Risk · ch1 p20

Liquidity describes how easy it is to find a trading counterparty and how cheap it is to trade; a liquid market/asset has ready counterparties and low trading cost, while an illiquid market/asset is hard to trade and relatively costly to transact in.

file: raw/ch01/chunk_000.json · source-vs-inference: all from source

Scope caveats (honest labels)

This report covers Pass 1 (extraction) only. Validation against source (Pass 2), chapter synthesis (Pass 3), global dedup/canonical concepts (Pass 4), typed RAG chunks (Pass 5), and retrieval evaluation (Pass 6) have NOT been run unless separately documented. Items are model-extracted and unverified; formulas must be source-checked before entering the production knowledge layer.